



Glycerine (Asia-Pacific)

By Helen Yan
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[Overview](#) | [Outlook](#) | [Prices](#) | [Upstream](#)

Please click [here](#) for full details on the criteria ICIS uses in making these price assessments.

OVERVIEW

- **Spot appetite curbed, buyers cautious, awaiting clearer picture**
- **Fears of escalating conflict in Mideast dampen sentiment**
- **Downstream ECH market weak, China domestic ECH prices fall**

Asia's glycerine market remained subdued, with discussions thin and trades limited.

Players stayed on the sidelines to wait for a clearer picture amid mounting tensions in the Middle East.

Fears of escalating conflict in the energy-rich Middle East region had dampened sentiment and curbed spot appetite.

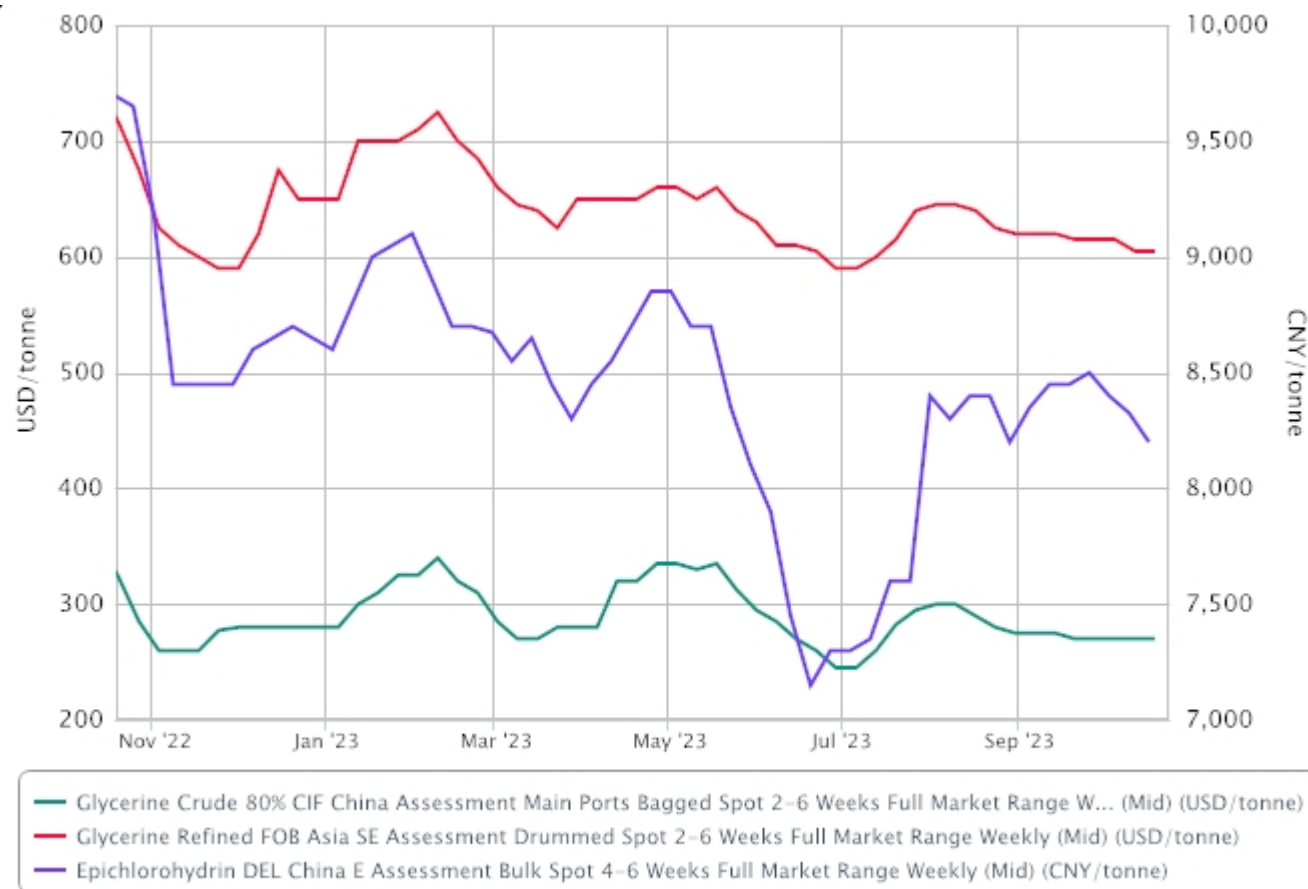
Buyers remained cautious and were reluctant to commit to any forward spot shipments.

Similarly, sellers were also holding back any firm offers in view of the uncertainties.

An escalation of the conflict in the Middle East will likely trigger a spike in crude oil prices, which could see the upstream crude palm oil aligning with the price spike.

Firm bids and offers were scant as players adopted a wait-and-see stance.

The downstream epichlorohydrin (ECH) market remained weak, with the Chinese domestic ECH prices slipping lower.



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OUTLOOK

- **Uncertainties amid Middle East crisis to curb spot interest, buyers cautious**
- **Downstream ECH market to remain soft on macroeconomic headwinds**

- **Suppliers may raise spot offers if upstream palm oil prices spike**

PRICES

SPOT PRICES

			Price Range		Four Weeks Ago	US CTS/lb
Glycerine Crude 80%						
CIF China Main Ports Bagged	USD/tonne	+5	265-275	-5	260-280	12.02-12.47
Glycerine Refined						
CFR NE Asia Drummed	USD/tonne	n/c	600-650	n/c	620-650	27.22-29.48
CFR China Drummed	USD/tonne	n/c	600-650	n/c	620-650	27.22-29.48
FOB SE Asia Drummed	USD/tonne	n/c	580-630	n/c	600-630	26.31-28.58

Refined glycerine

Spot prices were assessed flat in a subdued market.

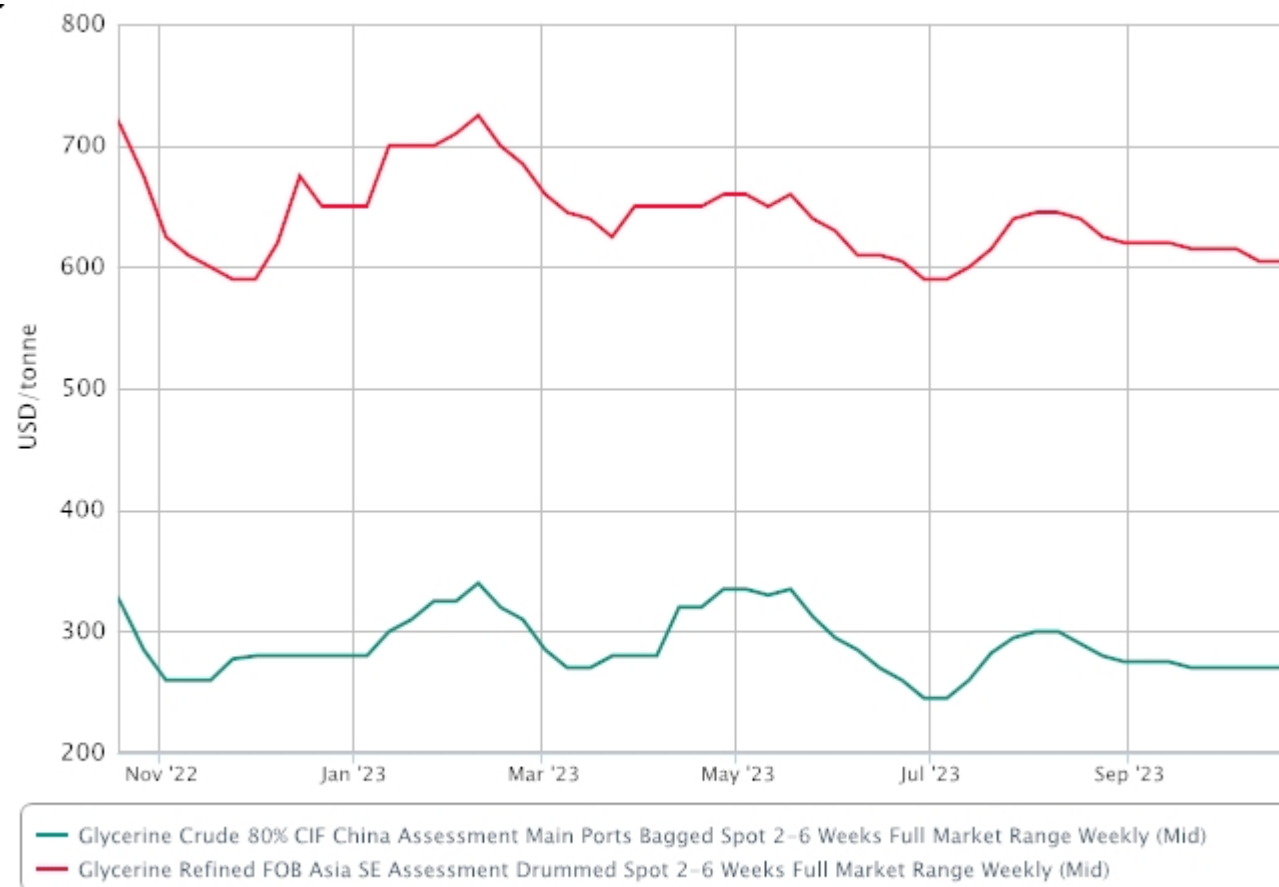
Demand remained tepid, with buyers holding back any spot purchases in view of the uncertainties.

Firm bids and offers were scarce as players stayed on the sidelines to wait for a clearer picture.

The downstream ECH market remained soft, with the ECH makers seeking lower prices due to squeezed margins .

However, suppliers were reluctant to discount their offers in anticipation of a pick-up in spot interest towards the end of the year.

The Chinese Lunar New Year holiday falls on 10 February in 2024, and Chinese spot interest for December shipments is expected to pick up prior to the festival.



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Crude glycerine

Spot prices were adjusted to reflect the current discussions and trades for November shipments of Brazilian product.

Spot offers at \$280/tonne CIF China for Brazilian product had failed to interest buyers.

Brazilian suppliers had shipped out substantial quantities of product to China in the previous months.

Chinese buyers were hesitant to procure additional spot volumes and had limited spot appetite in light of the uncertainties.

Product from Brazil or Latin America is typically priced lower than product from southeast Asia because it is subject to a 6% import duty and is of a lower 80% purity level.

Furthermore, it takes 5-8 weeks to ship product from Brazil to China.

Crude glycerine from southeast Asia is typically at a higher 85% purity level. Its duty-free status and quick delivery time of about a week allows it to command a premium.

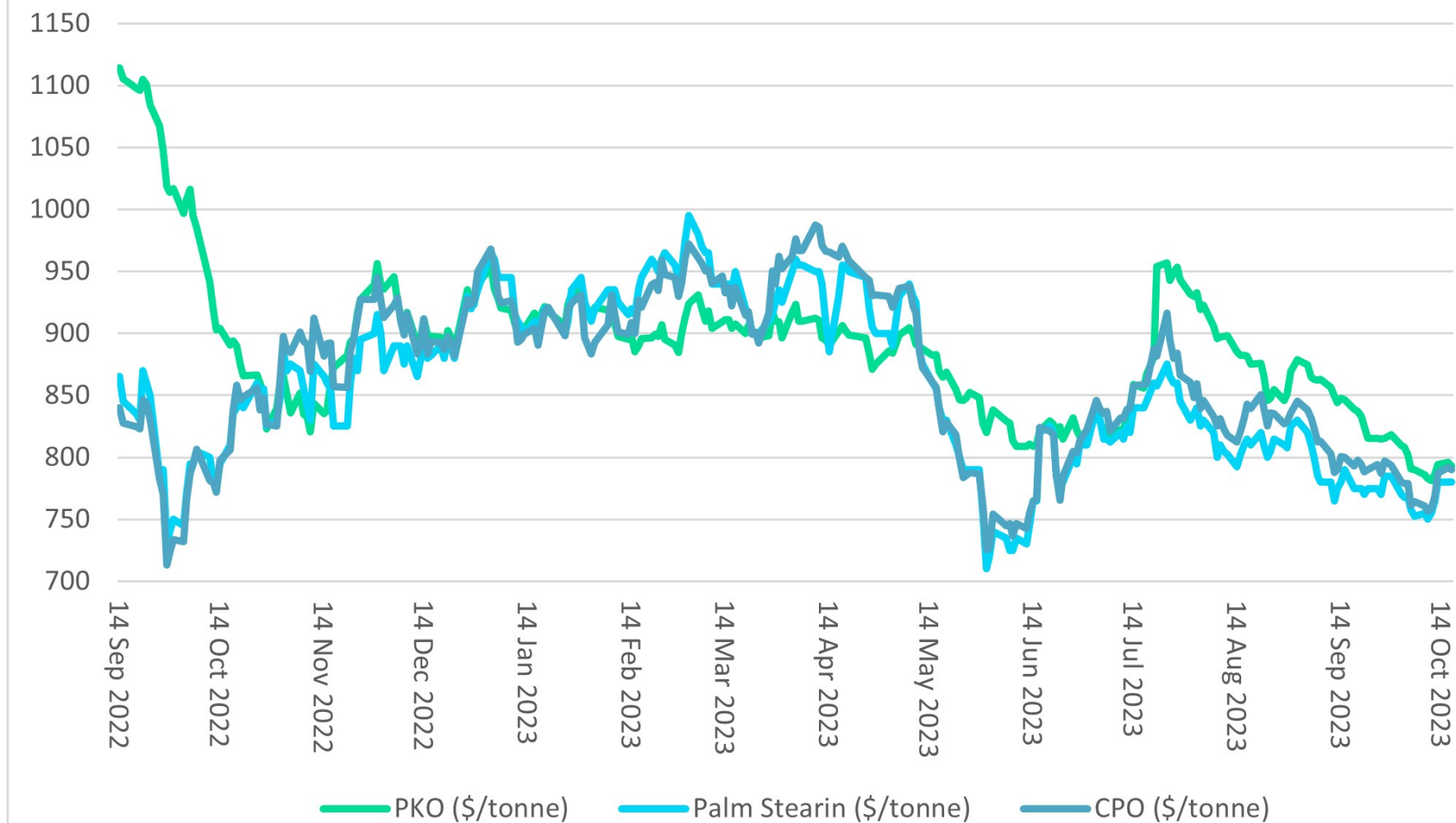
Product from southeast Asia is also not subject to import duty because of the free trade agreement (FTA) between the Association of Southeast Asian Nations (ASEAN) and China.

Discussions and trades of southeast Asia-origin product sold into China were not taken into consideration in the assessment.

Spot product from southeast Asia is typically more expensive due to its shorter delivery time frame and higher purity level.

UPSTREAM

CPO vs PKO vs Palm Stearin Prices



Product	Delivery	17-Oct	10-Oct
CPO	DEL, south Malaysia (M\$)	3,740.00	3,580.00

PKO	DEL, south Malaysia (\$)	792.77	783.03
Palm Olein	FOB, Malaysia (\$)	830.00	795.00
Palm Stearin	FOB, Malaysia (\$)	780.00	750.00
PFAD	FOB, Malaysia (\$)	760.00	750.00

All prices are on a per tonne
basis.

Source: Matthes & Porton

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